

Adobe Inc.

ADBE | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$465.00
Current price (October 2, 2026 close)	\$237.69
Implied upside / downside	+96%
Verdict	BUY

Investment Thesis

Adobe is being priced as an AI loser, and our judgment is that this is wrong. The market's fear is straightforward: generative AI commoditizes content creation, eroding the need for Creative Cloud subscriptions. Our view is that this misunderstands both what Adobe sells and how creative work actually gets done. Adobe does not sell the ability to make an image; it sells the professional workflow in which images are made, revised, versioned, rights-managed, and published across teams and enterprises. Generative AI makes more content get made, not less -- and every additional asset created inside an enterprise still needs to flow through editing, collaboration, digital asset management, and publishing pipelines where Adobe is the system of record. AI is a demand accelerant for Adobe's workflow products disguised as a threat to its tools.

The financial profile is what makes this a BUY rather than an interesting debate. Roughly 97% of revenue is subscription-based, gross margins sit in the high 80s, and free-cash-flow margins are among the best in large-cap software -- this is a cash-compounding machine with net revenue retention that reflects genuine enterprise entrenchment, not contract lock-in. At \$237.69 the shares trade at a multiple that implies structural decline; we model durable double-digit earnings compounding driven by seat expansion in Document Cloud, ARPU expansion from AI-priced tiers in Creative Cloud, and the continued scaling of Experience Cloud into the enterprise marketing stack. Our \$465.00 target implies +96% upside and requires only that Adobe remain what it observably is -- the workflow standard -- rather than becoming something new.

We have a specific view on AI monetization that differs from consensus. Skeptics note that Adobe's Firefly generative credits are modestly priced and that competition from Figma, Canva, and frontier AI labs is intense. We agree on the competitive intensity and we haircut management's AI-revenue commentary accordingly. But we judge that Adobe's distribution -- hundreds of millions of users, deep enterprise relationships, and a trusted brand on commercial safety and IP indemnification -- is the durable advantage in an AI world where enterprises are terrified of copyright liability and data leakage. Firefly's training on licensed and public-domain content, with IP indemnification for enterprise customers, is not a footnote; for risk-averse enterprises it is the reason to standardize on Adobe rather than on a frontier model with unclear provenance.

Business Overview

Adobe Inc., led by CEO Shantanu Narayen, operates three segments. Digital Media -- Creative Cloud (Photoshop, Illustrator, Premiere Pro, and dozens of professional tools) and Document Cloud (Acrobat, PDF services) -- is the core profit engine, sold overwhelmingly by subscription. Digital Experience (Experience Cloud) provides marketing, analytics, content management, and commerce software to enterprises. A small publishing segment rounds out the business. Approximately 97% of total revenue is subscription-based, producing the predictability and cash conversion -- free cash flow routinely exceeding 35% of revenue -- that define the investment profile.

Adobe's moat is workflow entrenchment compounded by network effects in creative talent: professionals learn Adobe tools, employers hire for Adobe skills, files and collaboration live in Adobe formats and clouds, and switching costs rise with team size. The company has layered generative AI across the portfolio -- Firefly image and video generation, AI Assistant in Acrobat, generative features in Photoshop and Express, and GenStudio for enterprise content supply chains -- monetized through credit-based add-ons and AI-priced tiers. Competition spans Figma and Canva in design, point AI tools from startups and frontier labs, and Microsoft and Salesforce in the experience layer.

Forward Outlook

Our forward view is that Adobe's next five years look more like its last ten than the market expects. We forecast Creative Cloud to keep growing through a combination of modest seat growth and steady ARPU expansion as AI features move into higher-priced tiers -- not because customers pay more for the same product, but because generative workflows measurably raise output per creative professional, which is the oldest justification for a price increase in software. Document Cloud, often overlooked, is in our judgment the steadiest compounder in the portfolio: PDF workflows are deeply embedded in enterprise processes, AI Assistant adds a genuine new capability (conversational document understanding), and seat expansion in knowledge-work enterprises continues. Experience Cloud grows more slowly but at high incremental margin as the enterprise marketing stack consolidates.

On competition, we are clear-eyed but not alarmed. Figma's strength in collaborative product design does not displace Photoshop in image work or Premiere in video; Canva expands the market downward more than it takes share upward; and frontier AI models are complements to Adobe's workflow more than substitutes for it, because raw generation is a feature while Adobe sells the pipeline. The genuine competitive risk is in net-new creative workflows that never touch Adobe -- AI-native video or design studios built entirely on new stacks -- and we model modest share leakage at the edges rather than core displacement. We haircut management's AI-attributed revenue figures, which blend genuine AI monetization with reclassified existing spend, and we underwrite only the AI revenue we can tie to observable pricing actions.

Capital allocation is exemplary and we expect it to continue: massive free cash flow funds aggressive share repurchases that have steadily reduced the share count, and the balance sheet carries net cash, giving Adobe full strategic optionality. We do not model a large acquisition; Adobe's history suggests discipline after the Figma episode, and the forward story does not need M&A.; What it needs is continued execution on the AI product cycle and evidence -- in net new ARR and Digital Media growth reacceleration -- that the workflow standard is strengthening, not eroding. Our base case assumes exactly that: no heroics, just the compounding of a subscription franchise with 97% recurring revenue and best-in-class margins.

Valuation

We value Adobe on a probability-weighted scenario DCF over a 10-year horizon, with a 10% base discount rate reflecting the stability of the subscription franchise, 250bp added in the bear case and 150bp subtracted in the bull case, and terminal growth capped at 2.5% on normalized margins. The bear case is genuinely adverse and sits below the \$237.69 share price: AI-native competitors displace Adobe in net-new creative workflows, seat growth stalls, pricing power erodes, and the multiple compresses to reflect a structurally challenged franchise. The base case assumes Creative Cloud and Document Cloud continue compounding at durable rates, AI tiers drive ARPU expansion, Experience Cloud scales steadily, and free-cash-flow margins remain elite -- the continuation of the observable business. The bull case assumes Adobe emerges as the enterprise AI content-supply-chain standard, with GenStudio and Firefly enterprise adoption accelerating growth back toward historical highs.

Blending these scenarios at 25% / 50% / 25% yields a probability-weighted fair value of \$465.00, which is our target, implying +96% upside. The valuation rests on the durability of subscription cash flows -- roughly 97% of revenue recurring -- rather than on heroic AI monetization assumptions; our AI revenue forecasts are haircut relative to management commentary throughout. Terminal value is held within our 70%-of-enterprise-value guardrail and disclosed.

Key Risks

- AI disruption: AI-native creative tools could displace Adobe in net-new workflows faster than modeled.
- Competitive intensity: Figma, Canva, and frontier AI labs compete for creative mindshare and talent pipelines.
- Enterprise IT budgets: a spending downturn would slow Experience Cloud and seat expansion.
- Pricing power limits: repeated price increases could accelerate churn or invite regulatory scrutiny.
- Copyright and IP exposure: generative-AI training-data litigation remains an industry-wide overhang despite Adobe's licensed-data approach.
- Multiple compression: software multiples can contract sharply on growth scares regardless of cash-flow durability.
- Execution risk on AI monetization: if AI features fail to convert to paid tiers, the growth reacceleration thesis weakens.

What Would Change Our Mind

- Two consecutive quarters of declining Digital Media net new ARR would indicate the core franchise is eroding.
- A sustained drop in gross retention in Creative Cloud, signaling genuine displacement rather than cyclical softness.
- Observable enterprise standardization on a competing AI content platform at Adobe's expense in large deals.
- Free-cash-flow margin compression not explained by deliberate investment, indicating pricing-power loss.
- A large dilutive acquisition that signals management lacks confidence in organic growth.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit 10-year forecast horizon, weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins -- never peak margins -- and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants.

Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.